

deductions,” says Parizad Sirwalla, Partner and National Head—Tax, Global Mobility Services at consultant firm KPMG in India.

The NTR is particularly beneficial for those with simpler income structures who lack significant investments in tax-saving instruments. High-income earners also prefer the new regime. For those with an income of ₹5 crore and above, the surcharge of 37% is reduced to 25%. “Foreigners/expatriates working in India generally do not have many deductions, and hence, prefer the new regime,” adds Sirwalla.

The NTR also eliminates the need for extensive tax planning. “Unlike the old regime, where taxpayers often engaged in complex tax planning through investments in tax-saving instruments like Public Provident Fund (PPF) and Equity Linked Savings Scheme (ELSS), the new regime eliminates the need for such strategies. This is particularly appealing for individuals who may not want to invest solely for tax benefits,” says Vishwas Panjari, Partner at Nangia Andersen LLP, a business advisory services provider.

Another big reason for the jump in taxpayers opting for the NTR has been the decision to make it the default choice. “Earlier, the old tax regime was the default tax regime. But recently, the finance minister made the new tax regime the default one. So, if you don’t exercise the choice of selecting a tax regime, it would be the new tax regime by default. This has given a big impetus to wide adherence to the new tax regime,” says Sujit Bangar, Founder of tax filing platform TaxBuddy.com.

Further, if one’s income is up to ₹7 lakh, there is no tax under the new regime. It also increases disposable cash, while offering



“In the past two years, the new tax regime has become increasingly attractive for individuals with few or no deductions and exemptions”

Parizad Sirwalla
PARTNER AND NATIONAL
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“To further encourage people to move from the old tax regime to NTR, the government may consider a further increase in the standard deduction”

Poorva Prakash
PARTNER,
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lower tax rates. “This is another reason for the recent popularity of the new tax regime,” adds Bangar.

OLD VS NEW

Under the new regime, taxpayers cannot claim deductions for common sections like 80C, 80D, LTA, HRA, or home loan interest. “Unlike the old tax regime, where taxpayers could claim various exemptions, deductions, and rebates to reduce their taxable income, the new tax regime is more streamlined and does not allow most of these exemptions,” Panjari emphasises. While simplicity is a significant advantage, it may not be ideal for those who rely on deductions to reduce their tax liability.

For example, if you have a gross income of ₹15.5 lakh and more, deductions of more than ₹3.75 lakh (excluding standard deduction), the old tax regime will suit you. However, if the deduction is ₹3.75 lakh, the tax liability will be the same under both regimes. This is because ₹3.75 lakh is the break-even deduction for a gross income of up to ₹5 crore. For income beyond ₹5 crore, the new tax regime is more beneficial due to the reduced surcharge of 25%. The surcharge under the old tax regime is 37% for the same category. The dual option allows taxpayers to choose the tax regime that suits them the best.

Additionally, eligible taxpayers have the flexibility to choose between the old and new regimes every year. “This allows individuals to select the regime that best suits their financial situation and provides the most favourable tax outcomes,” says Panjari.

On the flip side, taxpayers with large financial commitments might find the lack of exemptions in the new regime discouraging. However, with rising disposable incomes, taxpayers have the flexibility to prioritise financial goals over tax-saving